St Ignatius' College
Riverview

2026

HIGHER
SCHOOL
CERTIFICATE
ASSESSMENT TASK 1

Business Studies Task 1

Criteria

MCQ	11	12	13	Total
7.8	7.1	7.1	6.9	29

Section I

Question	Answer
1	A
2	D

3	B
4	B
5	D
6	A
7	C
8	C
9	B
10	D

Section II – Short Answers

Question 11 (10 marks)

(a) Outline the strategic role of operations for this business.

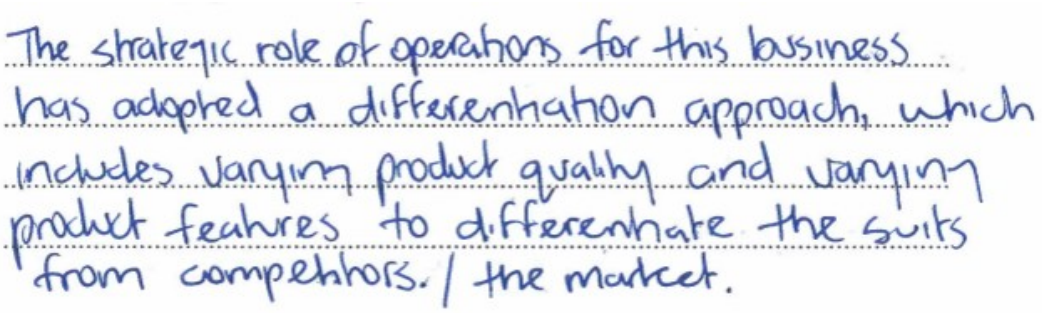
Criteria	*Mark*
Sketches in general terms the strategic role of operations for this business	2
Makes a relevant statement about the strategic role of operations	1

Strategic role of operations *– cost leadership, goods/ service* ***differentiation***

- *Cost leadership would not be suitable for this business*

Answers could include:
The luxury clothing brand of custom-made suits is pursuing a differentiated approach. This is evident in the positioning of the brand supported by variety of suits, exceptional customer service and quality of materials used.

Sample student answer



(b) Distinguish between transformed and transforming resource for this business.

Criteria	*Mark*
Clearly demonstrates the differences between transformed and transforming resources for this business	4
Demonstrates the differences between transformed and transforming resources for this business	3
Sketches in general terms transformed and transforming resources	2
Makes a relevant statement about operations	1

Transformation processes – Inputs

- *Transformed (materials, information, customers)*

- *Transforming (human resources and facilities)*

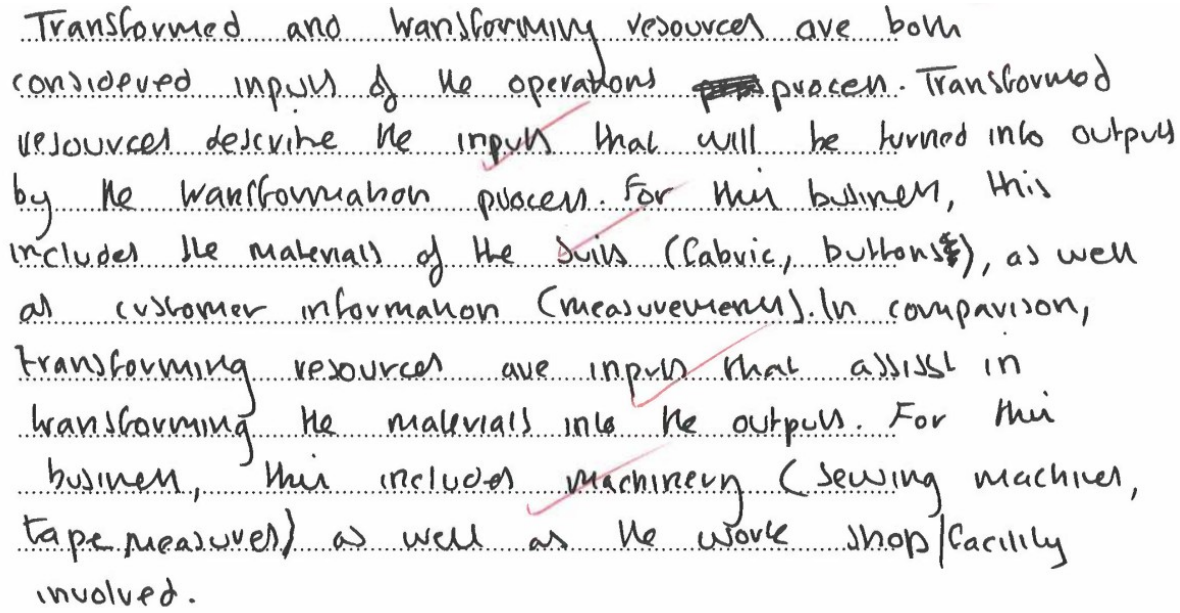
Markers Comments

- Some students who didn't use the correct terminology or mixed up transformed/transforming – 1 mark
- No reference to business in the scenario – 2 marks

Answers could include:

Transformed resources include materials information and customers. Transformed resources are turned into outputs (in this case luxury suits) during the transformation process. In this case, materials are the fabrics and stiches, and information are the customer measurements and preferences that inform the final suit manufacture. Whereas, transforming resources are the inputs of human resources and facilities, that actually do the transformation. For example, the employees cutting and sewing the suit as well as the machinery, scissors and sewing that takes place to make the suit.

Sample Student Answer


Transformed and transforming resources are both considered inputs of the operations process. Transformed resources describe the inputs that will be turned into outputs by the transformation process. For this business, this includes the materials of the suits (fabric, buttons), as well as customer information (measurements). In comparison, transforming resources are inputs that assist in transforming the materials into the outputs. For this business, this includes machinery (sewing machines, tape measures) as well as the work shop/facility involved.

(c) Explain how the performance objectives impact operations processes for this business.

Criteria	*Mark*
Clearly relates cause and effect of performance objectives (customisation and quality) impact operations processes	4
Relates cause and effect of performance objectives (customisation and quality) impact operations processes	3
Sketches in general terms how performance objectives impact operations	2

Makes a relevant statement about operations	1

- ***Performance Objectives – Quality***, *Speed*, *Dependability*, *Flexibility*, ***Customisation***, *Cost*
- ***Operations Processes*** – *Inputs*, *transformation processes*, *outputs*

Answers could include:

The performance objectives of customisation and quality significantly impact the operations processes of the luxury suit business. Firstly, the objective of customisation (the ability to meet a wide variety of customer preferences when producing suits) will impact the processes of variety and visibility, the customers of bespoke, tailor-made suits will have autonomy over the inputs such as fabrics, colours and design of the suit as well as the customer contact seeing the transformation processes including measurements and suit workshop. Secondly, the objective of quality will inevitably influence the processes. Most notably the inputs such as materials, but also the monitoring, control and improvement aspects of the operations process. To ensure a high-quality finish operations will ensure tight quality controls considering this, lead times will be longer, however this allows for the necessary processes to take place to guarantee customer satisfaction.

Sample Student Answer

The key performance objectives of customisation and quality impact the operations process of this business. Firstly, customisation involves a high variety approach for the transformation process. This would result in increased costs through purchasing more resources to accomodate for the high variety, which ultimately increases both costs & complexity. Secondly, increasing the quality of their products would appeal to the customer base, however also result in increased costs & complexity for the transformation process. This is due to potentially sourcing higher quality material (inputs) such as leather or fabric, which increases costs for the operations process & adds complexity in transforming. In this way, increasing both customisation and quality adhere to the differentiation approach of the operations management.

End of Question 11

Question 12

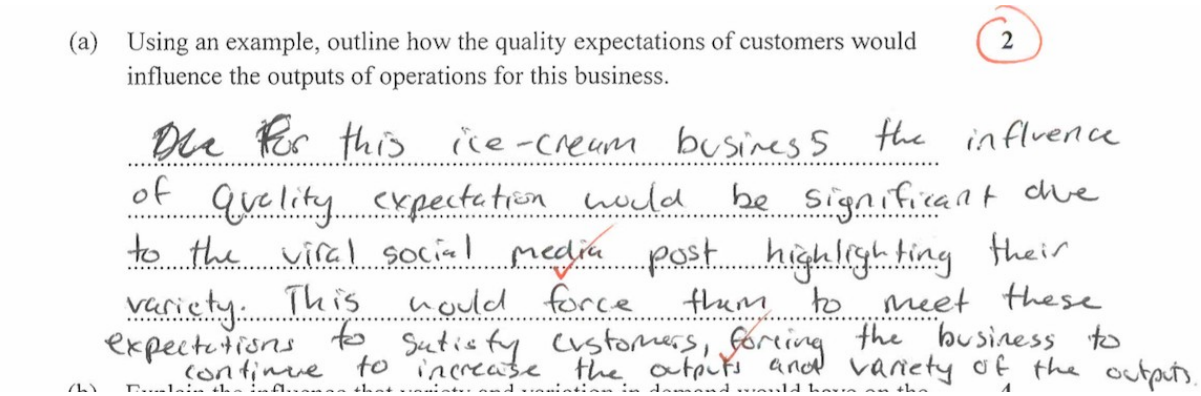
a) Using an example, outline how the quality expectations of customers would influence the outputs of operations for this business.

Criteria	*Mark*
Sketches in general terms how the quality expectations would influence outputs	2
Makes a statement about quality expectations or outputs like customer service	1

Suggested answer

Quality expectations refers to the pre-existing idea about the quality of the product based on experience or marketing by the customer. This has a significant impact on the outputs of this business, due to the social media campaign, customers expect excellent customer service from staff that are friendly and knowledgeable and a variety of high-quality flavours and a variety of toppings that differentiate their output from their competitors.

Sample Student answer



(a) Using an example, outline how the quality expectations of customers would influence the outputs of operations for this business. 2

For this ice-cream business the influence of quality expectation would be significant due to the viral social media post highlighting their variety. This would force them to meet these expectations to satisfy customers, forcing the business to continue to increase the outputs and variety of the outputs.

Markers Comments

- The most common reason that students didn't receive 2/2 is because they failed to adequately reference the way in which the quality expectations would influence the **outputs**. Some answers displayed circular reasoning, for example, because customers expect a large variety of flavours, they need to produce a large variety of flavours – which is self-evident and didn't really demonstrate a good understanding of the key aspects of syllabus concepts in the outputs part of the course.
- Some students forgot to reference the ice cream business. Which was a requirement of the question "this business".

b) Explain the influence that variety and variation in demand would have on the operations processes of this business. **4**

Criteria	*Mark*
Makes the relationships clear between the influence that variety and variation in demand has on the operations processes of this business.	4
Makes the relationships clear between the influence that variety **OR** variation in demand has on the operations processes of this business **but** only sketches in general terms the other relationship.	3
Sketches in general terms the influence of variety and variation in demand **OR** makes the relationships clear between the influence that variety **OR** variation in demand has on the operations processes of this business	2
Makes a relevant statement about variety or variation in demand	1

Suggested answer

Variety refers to the number of different models and variations offered by a business in its products or services. Increased variety can have a number of different impacts on the inputs used by this business, specifically the transformed inputs. For example, a much broader range of raw materials would be needed, and these complicate the storage and transformation process trying to avoid cross contamination. **Variation in demand** is looking at how fluctuations in customer demand would impact on operations processes, for example weekends holidays for this business. This would impact their inputs, specifically their transforming resources, facilities – due to the number and range of different flavours this could require careful manufacturing layout configuration, different production lines, and different types of specialised equipment to produce different batches of flavours.

Other answers could include

Variety

Variety refers to the number of different models and variations offered by a business in its products or services.

Ways in which variety of ice cream flavours would impact operations processes

- **Inputs** –
- **Transformed**
    - Raw Materials – Different range of raw materials need to be managed and ordered including storage and avoiding cross contamination.
    - Information – different flavours will require different recipes.
- **Transforming**
    - Human Resources – different flavours might require different production methods, which may require different knowledge, skills and experience of employees
    - Facilities – due to the number and range of different flavours this could require extensive manufacturing space, different production lines, and different types of specialised equipment to produce different batches of flavours.
- **Outputs**
    - It will complicate the customer service process, as the different flavours will require advice and guidance, slow down the serving process as customers request different samples and require a more skilled employee to provide advice to customers on the different ingredients (i.e. allergens, etc)

Variation in demand

Variation in demand: Operations will be strongly influenced by variations in demand over time. Variation can change according to time of day, season, public holidays and time of year.

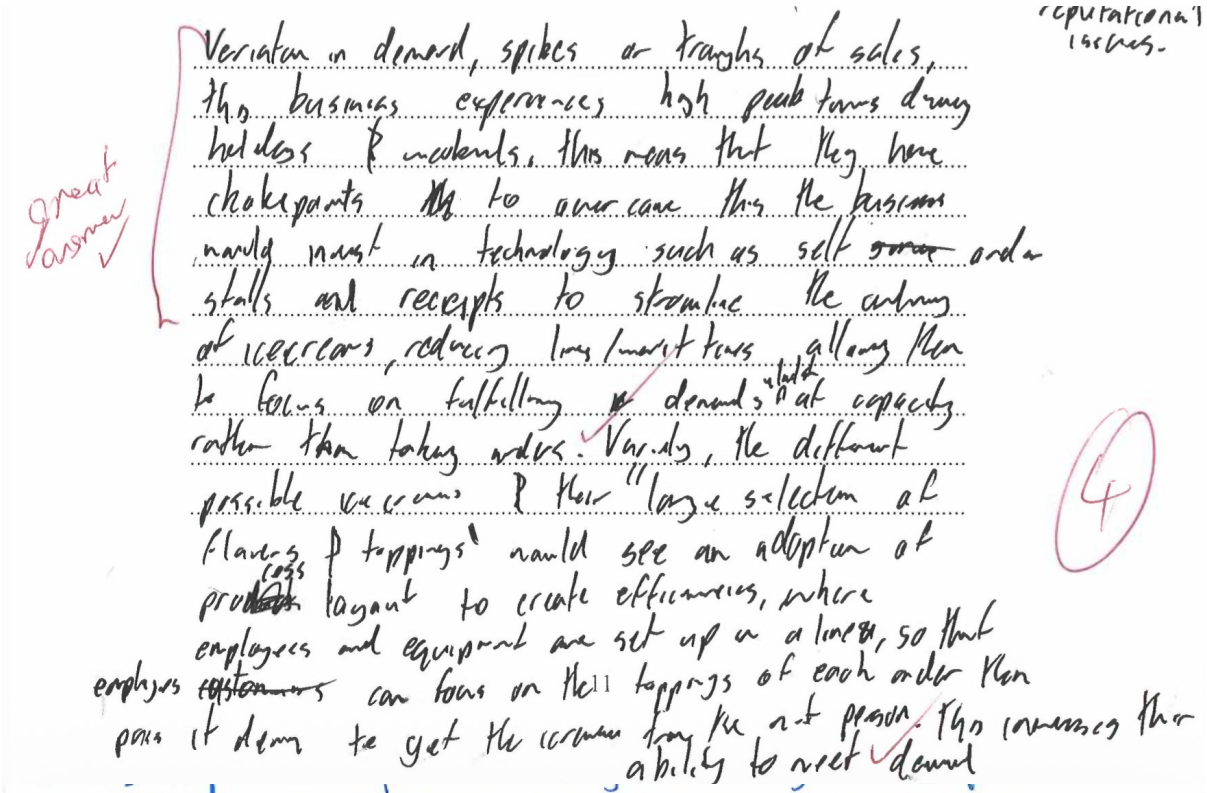
Impact on operations processes

Inputs
Transformed: Raw materials – will need to stock up on necessary raw material inputs in advance of weekends and school holiday periods as the volume of inputs required will increase to manufacturer greater levels of output required to satisfy this additional increase in demand.
Transforming: Human Resources – As labour is a transforming input, it will need to be increased in order to be to adequately cater for the surge in demand that is present during weekends and holidays. Given the viral social media presence, it's likely that they will need additional labour input to satisfy this demand.

Transformation process
Process layout – to mass produce the output required to satisfy this peak demand, there could be a requirement to either adopt a more efficient product layout to seek greater speed and volume efficiency in production. Alternatively, perhaps the company needs to reconsider its process layout to be able to more efficiently service these peak periods. For example, they might be required to remove tables and chairs, to make more space for queuing customers and exclusively do takeaway orders only during these times.

Outputs
Customer service – additional transforming resources (HR) inputs will be required to adequately satisfy customer demand on these peak periods. So that multiple customers can be served simultaneously.

Sample student answer



Great answer ✓

Variation in demand, spikes or troughs of sales, the business experiences high peak times during holidays & weekends. This means that they have choke points they to overcome this the business would invest in technology such as self order stalls and receipts to streamline the ordering of icecreams, reducing long/wait times allowing them to focus on fulfilling demands at capacity rather than taking orders. Variety, the different possible icecreams & their large selection of flavors & toppings would see an adoption of process layout to create efficiencies, where employees and equipment are set up in a line, so that employees can focus on their toppings of each order then pass it down the line to get the icecream to the next person. This increases their ability to meet demand

operational issues.

4

(b) Explain the influence that variety and variation in demand would have on the operations processes of this business. 4

Variety is the range of products a business sells. Variation in demand is the fluctuations in demand due to external factors. Variation in demand in this business is high as it's stated sales increase on weekends and school holidays, displaying a seasonal influence. Due to this, operations processes such as supply chain management would be influenced, as the business would need to improve logistics, transportation and storage of materials ensuring materials are never low. Variety would influence the transformation process of this business as there is a large selection of flavours and toppings. This influences transformation as better task design and process layout is needed to suit the variety in products.

Marker's feedback

- Most students had a good understanding of what variety and variation in demand was. However, when linking this to operations processes, many students either linked this back to the business (at a macro level) or financial considerations (such as revenue, profits, sales) - which is not what the question was looking for.

- A key learning is that when you're answering an operations question, you really need to ensure your answer is full of operations terminology and concepts from the syllabus.

c) Discuss the implications of outsourcing for this business. 4

Criteria	*Mark*
Provides a comprehensive advantage and disadvantage of outsourcing production of ice cream	4
Provides one comprehensive advantage OR disadvantage of outsourcing production of ice cream AND another sound advantage OR disadvantage	3
Provides some advantage and disadvantage of outsourcing production of ice cream OR Provides a either a comprehensive advantage or a comprehensive disadvantage	2
Provides some relevant information	1

Suggested answer
A positive of outsourcing is:
Access to specialist knowledge and expertise because the function is their core business
More efficient methods
Specialist knowledge of relevant laws and regulations
Better access to IT, equipment and technology
Lower cost as the contracted business can achieve better economies of scale
Which all could lead to Increased quality of outputs at a lower cost

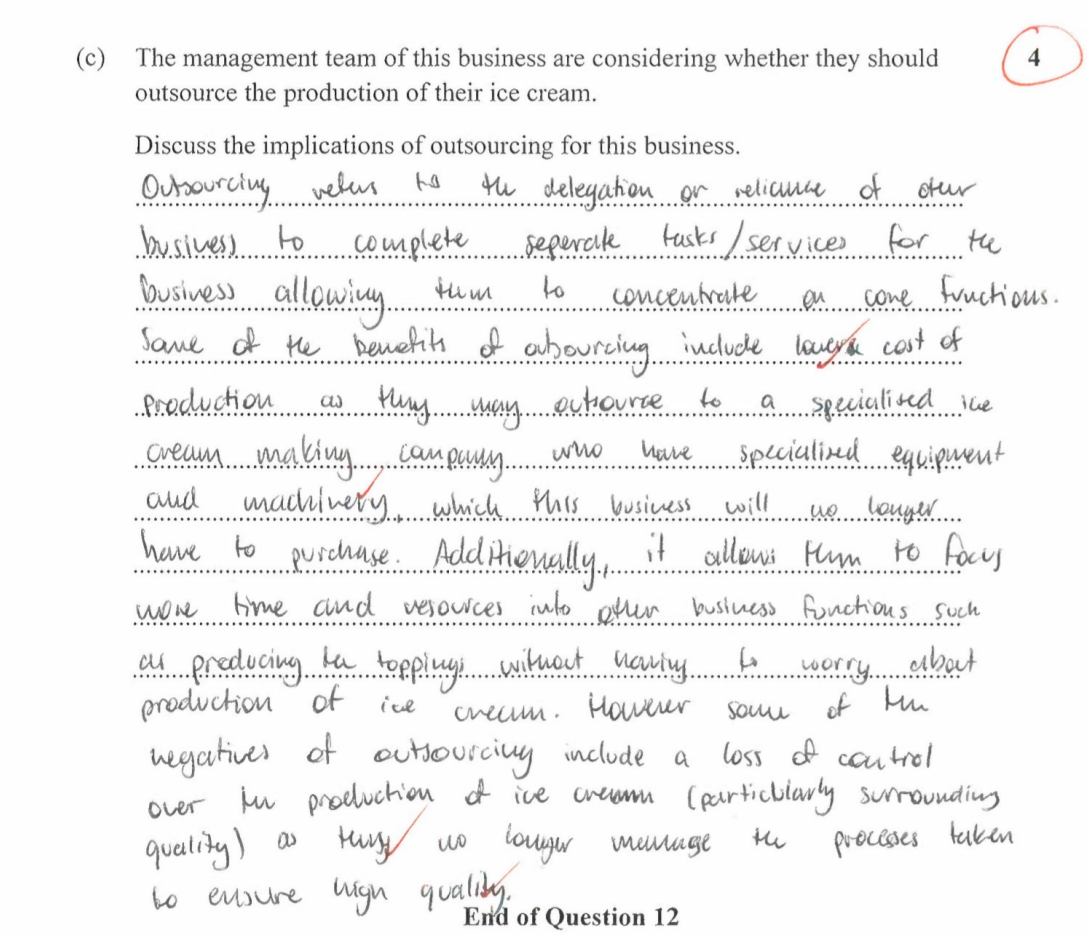
A disadvantage of outsourcing is:
Breakdown in the outsourced business
Loss of control over quality, reliability and costs
Possibility or a competitor outsourcing to the same business which negates any competitive edge in the market.
Longer lead times and response to changing market conditions
Loss of corporate expertise
Impacts on corporate social responsibility

Markers Comments

- Some students didn't address the directive verb and only provided arguments for OR against outsourcing

- Students didn't develop comprehensive implications as they did not link points to the business provided
- Made the argument of outsourcing leading to cheaper costs but didn't use business terminology i.e. Economies of scale

Sample Student Answer



(c) The management team of this business are considering whether they should outsource the production of their ice cream. 4

Discuss the implications of outsourcing for this business.

Outsourcing refers to the delegation or reliance of other business to complete seperate tasks / services for the business allowing them to concentrate on core functions. Some of the benefits of outsourcing include lowered cost of production as they may outsource to a specialised ice cream making company who have specialised equipment and machinery, which this business will no longer have to purchase. Additionally, it allows them to focus more time and resources into other business functions such as producing the toppings without having to worry about production of ice cream. However some of the negatives of outsourcing include a loss of control over the production of ice cream (particularly surrounding quality) as they no longer manage the processes taken to ensure high quality.

End of Question 12

Question 13

(a) Outline how operations and ONE other key business function are interdependent (2)

Criteria	*Mark*
Sketches in general terms how operations are independent with another business function	2
Provides relevant information	1

Suggested answer (indicative content)

Operations and marketing are interdependent because operations must produce goods that match the features and quality promised by marketing. In turn, marketing relies on operations

to deliver products on time and at the right standard and quality, and with the right features, so customer needs are met, which supports sales and customer satisfaction.

- HR and Finance are also acceptable.

Marker's Feedback:

Students struggled to fully address the question – describing one way only

Student response

(a) Outline how operations and ONE other key business function are interdependent. 2

Operations and HR are independant both relying on one another. HR needs operations managers to inform them of the skills & experience the workers need. And Operations need HR to provide a suitable number of employees with a suitable skillset and experience.

(b) How do increasing warranty claims impact operations? 4

Criteria	*Mark*
Provides a thorough explanation of the impact of warranty claims on operations.	4
Provides a sound explanation of the impact of warranty claims on operations.	3
Demonstrates some understanding of the impact of warranty claims on operations.	2
Provides some relevant information	1

Suggested answer

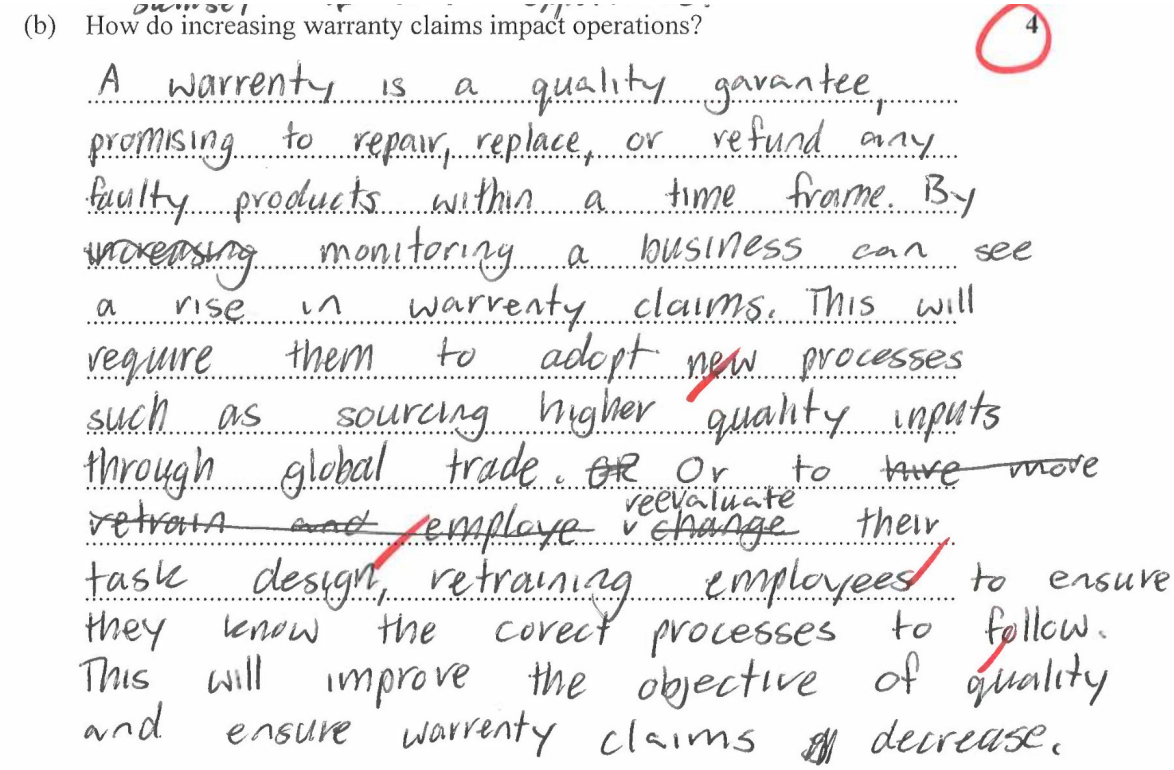
Increasing warranty claims negatively affect the operations function because they show that products are faulty and not meeting quality standards. This increases costs for the business, as they must repair or replace products under warranty. It can also slow down production because staff and resources are taken away from normal operations to deal with returns and customer complaints. As a result, the operations function is forced to improve quality processes, so fewer defects occur in the future.

Marker's Feedback:

Some students read the question wrong with them reading it as the business was increasing the warranty (extending the warranty) through choice. This meant that students were not able to fully develop the response to address the full impact on the business.

Additionally, some students did not fully develop and address the cause-and-effect element of the question.

Student Sample Answer



(b) How do increasing warranty claims impact operations? 4

A warrenty is a quality garantee, promising to repair, replace, or refund any faulty products within a time frame. By ~~increasing~~ monitoring a business can see a rise in warrenty claims. This will require them to adopt new processes such as sourcing higher quality inputs through global trade. ~~OR~~ Or to ~~have more retrain and employe~~ reevaluate ~~change~~ their task design, retraining employees to ensure they know the corect processes to follow. This will improve the objective of quality and ensure warrenty claims decrease.

(c) With reference to a business you have studied, explain how supply chain management can impact performance objectives. 4

Criteria	*Mark*
With reference to a business, provides a thorough explanation of how supply change management impacts performance objects.	4
With reference to a business, provides a sound explanation of how supply change management impacts performance objects.	3
Demonstrates some understanding of how supply change management impacts performance objects.	2
Provides some relevant information	1

Suggested answer (indicative content)

Apple's effective use of supply chain management significantly impacts the performance objectives of cost and speed through global sourcing and logistics.

Apple sources components such as chips and screens from specialised international suppliers, allowing the business to access high-quality inputs at lower prices, which reduces overall production costs.

Apple also uses advanced logistics systems, including centralised warehouses and fast shipping networks, to coordinate the movement of components and finished products around the world.

This streamlined logistics process increases the speed at which products are manufactured and delivered to customers, particularly during new product launches. Through global sourcing and efficient logistics, Apple can minimise costs while maximising delivery speed and maintaining a strong competitive advantage.

Marker's Feedback:

Overall, a solid response, some pupils failed to break down the different elements of SCM and were generic in their response. Other students confused SCM with Inv Management.

Student Sample Answer

Question 13 (continues)

Amazon — global sourcing, e-commerce

(c) With reference to a business you have studied, explain how supply chain management can impact performance objectives. 4

→ QSD FCC

Supply ~~tha~~ chain management is the end to end management ~~of pro~~ from producer to consumer, consisting of logistics, global sourcing, and e-commerce. Amazon uses the strategy of supply chain management to achieve the performance objectives of cost and dependability. By sourcing it's products globally, Amazon is able to purchase products from suppliers who can produce it for cheaper, minimising costs and directly improving their objective of cost. They also have a robust logistics to ensure products are delivered on time. They achieve this through contracting reliable shipping & trucking businesses aswell as purchasing a majority of their own ships to ensure deliveries are never late. This directly helps improve the performance objective of dependability

End of Question 13

END OF PAPER

Question 13 (continues)

(c) With reference to a business you have studied, explain how supply chain management can impact performance objectives. 4

~~Supply~~ For Qantas supply chain management is a crucial strategy in improving performance objectives. Firstly Qantas achieves speed through implementing e-commerce throughout the supply chain. e-commerce refers to the ~~tech~~ technilogical access to purchasing or tracking of the product. Qantas introduced online booking of flights both departure and return as well as ~~se~~ a self check in process ~~eliminating~~ eliminating timely face to face process's allowing for greater speed to be achieved. Additionally Qantas achieves lower cost's by implementing global sourcing. Quantas ~~hires~~ sources staff from [redacted] malaysia to do the magority of engine maintenance on International flights allowing for Qantas to ~~m~~ minimize costs through cheaper ~~labourring and~~ more accesible labouring of ~~maintenance~~ engine maintenance. Highlighting how Qantas uses the supply chain management strategy of global sourcing to achieve the performance objective of cost.

End of Question 13

END OF PAPER

V. good.